

CANADA BREAD COMPANY, LIMITED

ANNUAL INFORMATION FORM

March 25, 2010

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Unless otherwise indicated, the information in this Annual Information Form is given as of December 31, 2009 and all amounts are in Canadian dollars. Unless the context otherwise requires, references herein to "Canada Bread" or the "Company" are to Canada Bread Company, Limited and its consolidated subsidiaries.

SPECIAL NOTE REGARDING FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include but are not limited to, statements with respect to the Company's objectives and goals, as well as statements with respect to the Company's beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements with respect to the timing and costs of the Company's plans to build a new scale fresh bakery plant in Southwestern Ontario and the closure of three existing older and smaller facilities located in Ontario; the continued growth of the Company's position in the specialty bakery market; expectations regarding the payment of additional amounts with respect to the acquisition of Martel; the timing and effectiveness of the installation of the new SAP systems software; the sufficiency and source of funds for ongoing business requirements and capital investments; reliance upon consumers' brand recognition and loyalty; expectations regarding the sufficiency of the allowance for uncollectible accounts; analysis regarding the sensitivity of the business to changes in interest rates and exchange rates; expectations regarding the payment of dividends and dividend eligibility; expectations regarding environmental expenditures; expectations regarding the outcome of outstanding litigation; and, expectations regarding the impact of recently adopted accounting pronouncements. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", "designed to" and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, British and United States economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; stable legislative and regulatory environment; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things:

- the risks associated with the implementation of a new ERP information system by the Company;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;

- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 8 of this document. The reader should review such section in detail. The Company does not intend and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Management Discussion and Analysis, is available on SEDAR at www.sedar.com or at www.mapleleaf.ca.

OVERVIEW OF THE BUSINESS

Canada Bread is a leading manufacturer and marketer of value-added flour-based products in its various markets, including fresh bread in Canada, frozen partially baked ("par-baked") bread in the United States and Canada, specialty bakery products including fresh pasta, sauces and prepared sandwiches in Canada, and bagels, croissants and other specialty baked goods in the United Kingdom. As at March 25, 2010, Maple Leaf Foods Inc. ("Maple Leaf Foods") owned, directly or indirectly, 89.8% of the outstanding voting and equity securities of the Company. The Company's business is divided into two operating and reportable segments: the Fresh Bakery Group and the Frozen Bakery Group.

Organizational Structure

The following chart summarizes the Company's current organizational structure by operating segment (sales figures are in millions):



GENERAL DEVELOPMENT OF THE BUSINESS

Three-Year History

In July 2008, Maple Leaf Foods increased its ownership of the Company by acquiring 458,800 shares, raising Maple Leaf Foods' ownership to 22,818,515 common shares (89.8%) of Canada Bread.

Over the past three years, the Company has made a number of acquisitions to expand the global market for its products, and undertaken capital expansions at plants and locations.

In 2007, Canada Bread acquired the assets and operations of La Fornaia Ltd., a leading producer of an extensive range of quality, specialty and handcrafted breads in the United Kingdom for total consideration of £18.9 million ($40.3 million). With three acquisitions made in 2006 and additional capital expansions and strategic closures described below, the United Kingdom operation has grown to now comprise six plants producing a variety of breads including bagels, croissants and other specialties.

On February 26, 2007, the Company made one acquisition in Quebec, being the assets and operations of Patisserie Chevalier Inc., a leading producer of single-portion snack cake products in Quebec for $8.2 million.

On January 29, 2008, Canada Bread acquired Aliments Martel Inc. ("Martel"), a privately held Quebec-based manufacturer and distributor of sandwiches, meals and sweet goods. Canada Bread paid an initial purchase price of $44.6 million and, in addition, may pay an earn-out of up to $22.6 million based on the financial performance of the acquired business over the three years following the acquisition. In 2008, the Martel operations, which are primarily in Quebec and the Maritime provinces, were integrated with the Royal Touch operations, which are in Ontario.

In 2008, the Company optimized its network of bakery operations in the U.K. by consolidating the production of two small facilities producing primarily croissants and bagels, into the production of two larger, more efficient plants in Maidstone and Rotherham. At the end of 2008, several new products were launched in the Italian specialty bread and Viennoiserie categories.

The U.K. bakery operations suffered an oven fire on its principal bagel line at the Rotherham plant early in 2008. Although bagels were sourced from the Company's North American operations during the time a new oven was commissioned, operations were nonetheless impacted during 2008. The new bagel oven at the Rotherham plant, commissioned in 2008, was producing to full capacity in 2009. The Rotherham, U.K. plant also commissioned a cold store expansion in 2008 and invested in a new Modified Atmosphere Packaging ("MAP") line. MAP is a technique used to prolong the shelf life period of fresh or minimally processed foods, whereby the gaseous composition of the air surrounding the food in the package is modified so that the natural deterioration of perishable products is slowed.

In 2008, Canada Bread closed a bagel manufacturing facility in Toronto, Ontario, and moved production to other regional facilities. An expansion at the Company's Roanoke, Virginia plant was commissioned during the second half of 2008, improving product costs and reducing freight and distribution costs to supply regional customers. The Roanoke bagel line was operating at full capacity by the end of 2009. Overall, these strategic closures and expansions were designed to allow the Company to better balance its North American production network to provide the best possible service to its North American customers.

In 2009, the Company launched a new customer alignment process designed to further increase the Company's alignment with its customers' strategies and needs and to identify opportunities for value-added product and service solutions while aligning resources across all functions.

In January 2010, the Company announced its plan to build a new scale fresh bakery plant in southwestern Ontario, which will ultimately replace three existing older and smaller facilities located in Ontario. Management currently expects that the investments required to build the new plant will be approximately $100 million, with an additional $25 million restructuring charge for decommissioning and employee severance payments. The new plant is expected to start operations within a year of beginning construction while the closure of the existing older plants is expected to start towards the end of 2011.

In 2007, the Company, together with its parent company Maple Leaf Foods, began a process to standardize core operational and financial processes and supporting systems across the Company and as a foundation to

establish a multi-functional shared service organization designed to provide lower cost, value-added services for all the Company's business operations.

In this regard, Maple Leaf Foods, the Company's information technology service provider, embarked on an initiative to consolidate all of its information technology systems onto a single platform. During 2008, management of Maple Leaf Foods initiated a plan to upgrade its existing software to achieve this goal. After further study, management decided that it was in the best interests of Maple Leaf Foods and the Company to completely replace, as opposed to upgrade, its current systems and selected software by SAP as its new information technology platform and engaged an implementation consultant. The initial incremental installations of this software began in early 2009, and management expects that the full installation will be substantially complete by 2012. The software was successfully installed in the Company's North American Frozen Bakery operations in 2009, with no material operational disruptions.

DESCRIPTION OF THE BUSINESS

Canada Bread is a leading manufacturer and marketer of value-added flour-based products in its various markets, including fresh bread in Canada, frozen par-baked bread in the United States and Canada, specialty bakery products including fresh pasta and sauces in Canada, and bagels and specialty baked goods in the United Kingdom. Canada Bread is divided into two operating divisions: the Fresh Bakery Group and the Frozen Bakery Group.

General

Canada Bread has generally focused on attempting to increase the consumption of flour-based bread, rolls and bagels by creating more varieties and more premium products, while expanding distribution channels to make these products more widely available. The product mix is currently weighted towards premium whole-grain and healthy bakery products.

During 2007 and 2008, the Company was affected by unprecedented increases in the price of key inputs to its manufacturing operations, including wheat, corn, other grains and fuel costs. In 2009, the Company benefited from lower commodity costs, most notably wheat and fuel. This was offset by lower sales volumes and an unfavourable sales mix, primarily in the U.K. bakery operations, as there was a change in customer preferences from specialty to staple products. The change in customer preferences can be partly attributed to the difficult economic environment.

Canada Bread's customer base in the retail and food service sectors has been consolidating for some time, resulting in larger and more sophisticated customers who demand national solutions and cost effectiveness over a national distribution area. Canada Bread has undertaken strategic acquisitions to build its business. On February 26, 2007, Canada Bread acquired Patisserie Chevalier Inc., a leading producer of single-portion snack cake products in Quebec. On August 17, 2007, Canada Bread acquired La Fornaia Ltd., a leading U.K. producer of an extensive range of quality, specialty and handcrafted breads. On January 29, 2008, Canada Bread acquired Martel, a privately held Quebec-based manufacturer and distributor of sandwiches, meals and sweet goods. In 2008, the Martel operations, which are primarily in Quebec and the Maritime provinces, were integrated with the Royal Touch operations, which are in Ontario.

All of these acquisitions were targeted to enable Canada Bread to manufacture and distribute its products more broadly (both par-baked and fresh products in Canada; par-baked and specialty products in the United States; and bagels, croissants and specialty products in the United Kingdom) and to expand its product offerings to consumers.

A trend that has affected all companies in the food industry is a growing consumer focus on food safety and healthy diets. Furthermore, consumers appear to be expanding food choices to include more diversity, such as ethnic diversity and bakery products with specialty flavours and toppings. In response, Canada Bread has attempted to ensure that its range of products and food preparation standards are responsive to these trends. Over the past several years, whole grains have become increasingly popular as consumers become more aware of consuming healthier products and including whole grains in their diets. Canada Bread has experienced significant volume growth in the sale of its whole-grain products, including *Dempster's® Whole Grains*™ and *Ancient Grains*™ breads. In 2007, Canada Bread extended its *Dempster's Smart*™ line of bakery products with white bread flavour profile and whole grain nutritional profile to include *Dempster's*

Smart™ White Bagels, Dempster's Smart™ White Tortillas and *Dempster's Smart™ White English Muffins*. Reinforcing its leadership in the growing higher nutrition market, Canada Bread launched *Dempster's Whole Grains Prebiotik™*, a bread that contains inulin, a unique prebiotic source that promotes digestive health, becoming the first major brand in Canada to offer the benefits of prebiotics. In 2008, the Company launched *Smart 100% Whole Grain Wheat* bread nationally and *Smart™ Snack Cakes* in Eastern Canada, as well as *Dempster's Indian Naan* in Ontario. In 2008, Canada Bread launched *Dempster's Naan* bread and *Dempster's BodyWise* diet breads. Canada Bread also launched *Nature's Path*, a national line of branded organic breads. Olivieri launched a new gourmet flavour filled pasta in the U.S. and Canada and expanded its offering in sauces for pasta and pizzas. In 2009, Canada Bread launched *Dempster's® Healthy Way® with ProCardio Recipe™* breads and snack squares, and *Dempster's® OvenFresh™,* a line of fresh, long life white and multigrain baguettes and dinner rolls that finish baking at home. Under a licensing agreement, the Company has also launched *Cadbury® Snack Cakes* in Eastern Canada, expanding the Company's sweet goods offerings in the region. Note that *Cadbury®* is a registered trademark of Cadbury UK Limited.

In 2007, the Company announced an investment to further expand capacity at its Rotherham bagel facility in the U.K. that was designed to allow the business to pursue further opportunities in the frozen bagel market in the U.K. and Europe. The oven fire in 2008 at the facility and the subsequent oven replacement slowed completion of the expansion. The expansion, together with investments in croissant capacity at the French Croissant Company Ltd. and its acquisition of La Fornaia, is expected to position the business to continue its growth in the specialty bakery market.

In 2007, the Company undertook a major warehouse expansion of its Roanoke plant in Virginia, the Company's largest par-baked facility that has significantly expanded its storage capacity.

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf Foods management for operating involvement, mergers and acquisition transactions, information system services, engineering services, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2009 for these services were $38.7 million (2008 – $30.3 million; 2007 – $25.3 million).

Fresh Bakery Group

General

The Fresh Bakery Group comprises fresh bakery products, specialty fresh pasta and sauces and fresh prepared sandwiches and foods. The Fresh Bakery Group operates bakeries and facilities producing fresh pasta and sauces and sweet goods across Canada and sandwiches in Ontario. Management of the Fresh Bakery Group is organized into four regions: Ontario, Atlantic Canada, Quebec and Western Canada.

Principal Products and Markets

Canada Bread's primary brands include *Dempster's®*, the leading brand of fresh bread in Canada; *POM®*, a leading brand of fresh breads and rolls in Quebec; *Ben's®*, a leading bakery brand in Atlantic Canada; and *Healthy Way®* and *Olafson's®*, leading brands in Western Canada. Fresh bread and rolls are distributed and sold primarily across Canada and also in the Northeastern and Northwestern United States to retail grocery store chains, retail outlets and the food service industry. While Canada Bread manufactures the majority of its branded products, a small selection of products is produced by other manufacturers under co-pack agreements.

The Fresh Bakery Group has a network of bakery plants in Canada with approximately 1,200 franchisee distributors. Canada Bread manufactures and distributes a full line of fresh breads and rolls and specialty bakery products. The Company has introduced many new products appealing to consumers' tastes for specialty and ethnic products including whole grain, flat breads (such as tortillas), pita bread, naan breads, and also many product offerings with enhanced health and nutritional value such as whole grains, multi-grains, fiber and omega 3 oils. The Fresh Bakery Group also manufactures and distributes private label bakery products to major grocery store chains and fast food outlets. Most fresh products have a short shelf

life; therefore, effective product distribution is an important element of ensuring high customer satisfaction and minimizing costs associated with product expirations. Manufacturing facilities and distribution centres are located as close as practicable to the market areas being served. Canada Bread's distribution and routing system has been designed to ensure that fresh products are delivered on a timely and cost-efficient basis. Fresh products are generally delivered directly to the retail store, either by Canada Bread employees or by franchisees that own their own distribution routes and equipment.

The Fresh Bakery Group also manufactures fresh pasta and sauces under its *Olivieri*® brand. Canada Bread distributes these products to large retail customers across Canada and in the United States. Pasta and sauces are also manufactured for private label brands.

Through the Fresh Prepared Foods Group, the Fresh Bakery Group manufactures and distributes fresh sandwiches, fresh prepared foods and sweet goods to Ontario, Quebec and Maritime retail and food service channels. Martel also manufactures and distributes ready-to-eat meals in Quebec.

Raw Materials

The Fresh Bakery operations purchase a range of ingredients and packaging material, the major ingredients being flour, yeast, vegetable oil and sugar. These raw materials are primarily priced on a North American basis (except for sugar, which is priced on a worldwide basis) and have historically been readily available.

The cost of flour, the largest component of product cost, is responsive to changes in wheat prices and quality. Exposures to these price movements exist to the extent that cost changes cannot always be reflected in final selling prices on a timely basis, although raw material costs are a relatively small component of overall product costs.

Frozen Bakery Group

General

The Frozen Bakery Group consists of Canada Bread Frozen Bakery Ltd. in Canada, Maple Leaf Bakery Inc. in the United States and Maple Leaf Bakery UK Limited in the United Kingdom. Each of Canada Bread Frozen Bakery Ltd., Maple Leaf Bakery Inc. and Maple Leaf Bakery UK Limited are wholly-owned subsidiaries of Canada Bread. Together, Canada Bread Frozen Bakery Ltd. and Maple Leaf Bakery Inc. are leading North American manufacturers of frozen par-baked bakery products. Par-baked products are baked to approximately 90% of completion, quick-frozen and shipped to retail and food service customers for final baking. The par-baked market is among the fastest growing in the bakery industry. Production of par-baked products is designed to reduce in-store labour, waste and cycle time and improve product freshness for customers. Products include frozen par-baked breads, rolls, baguettes, specialty rye and hearth breads, artisan breads, croissants, sourdough bread, an assortment of scones, pastry shells, turnovers and fruit bites. The Frozen Bakery Group operates eight bakeries in North America and six bakeries in the United Kingdom.

Principal Products and Markets

The Frozen Bakery Group serves major retail grocery, food service and club store operators across Canada and the United States. It produces private label products as well as a select range of branded offerings including *California Goldminer*® Sourdough Bread*, Grace*™ artisan breads, *Maison Cousin*® crusty breads and *Tenderflake*® frozen pie/pastry shells.

Maple Leaf Bakery UK Limited specializes in the production of bagels and value-added specialty bakery products, including croissants, ciabatta and other morning goods products and is the United Kingdom's largest producer of bagels, a growing market in both the United Kingdom and Europe, and ambient croissants. The business also produces specialty bread products for the United Kingdom and European markets. Over the past few years, Maple Leaf Bakery UK Limited has grown substantially through a number of acquisitions, including the acquisition of the Harvestime operations (specialty and sliced bread products), The French Croissant Company Limited (croissants), Avance (U.K.) Limited (specialty bread products) and La Fornaia (specialty Italian style bakery products).

The Frozen Bakery Group distributes its products through a network of third-party brokers and freight carriers. While a small portion of the products is distributed by direct store delivery, the great majority are shipped to the customers' central warehouses or the customers' third-party logistics suppliers.

Raw Materials

The Frozen Bakery operations purchase a range of ingredients and packaging material, the major ingredients being flour, yeast, vegetable oil, sugar and butter. These raw materials for North American production are primarily priced on a North American basis (except for sugar, which is priced on a worldwide basis), independent of European pricing, and have historically been readily available. Ingredients for U.K. operations are sourced locally.

The cost of flour, the largest component of product cost, is responsive to changes in wheat prices and quality. Exposures to these price movements exist to the extent that cost changes cannot always be reflected in final selling prices on a timely basis, although raw material costs are a relatively small component of overall product costs.

Markets and Competition

Markets for fresh bakery products tend to be regional in nature, due to the cost and timeliness of transporting fresh bread. Canada Bread competes with other national bakers, local and regional bakers, as well as the in-store bakeries of large grocery stores. The Company believes it has a competitive advantage in fresh bakery as a result of being one of two bakers with a national production and distribution network. This national network allows it to service its large national customers on a cost effective and timely basis. In pasta and sauces, Canada Bread competes with local and regional Canadian manufacturers and manufacturers in the United States. The market for fresh pasta and sauces is less regional as the products can be shipped longer distances economically. There are many small and medium sized competitors in the fresh pasta and sauce marketplace.

Frozen bakery products, due to lower perishability, can be transported more efficiently over longer distances. The Frozen Bakery Group operations compete with other baked goods manufacturers and with retail grocery store chains that use frozen dough or bake "from scratch" in their stores. Sales of certain fresh products such as rolls and *Tenderflake*® baking products are affected by seasonality. Canada Bread's customer base in the retail and food service segments has been consolidating for some time, resulting in larger and more sophisticated customers who demand national solutions and cost effectiveness over a national distribution area. Canada Bread has the capacity to manufacture and distribute its products nationally (in Canada, both par-baked and fresh products; par-baked products in the United States; and bagels, croissants and specialty products in the United Kingdom) and is continually seeking to expand its product offerings to consumers. In both North America and the United Kingdom, the Company has a number of small to medium sized competitors in its principal product lines.

FOREIGN OPERATIONS

The Company is one of the largest par-baked manufacturers in North America and the United Kingdom. The Company operates three frozen par-baked bakery plants in the United States, one in Virginia and two in California, and also services the United States market from five plants in Canada. It also operates six bakery facilities in the United Kingdom, making it the largest producer of bagels and one of the largest producers of specialty bakery products in the country. The Company's Frozen Bakery operations in the United States and its operations in the United Kingdom generated 25.0% (2008 – 26.6%, 2007 – 27.5%) of the Company's total revenue for the fiscal year ended December 31, 2009.

INTANGIBLE PROPERTY – TRADEMARKS AND PATENTS

Canada Bread relies on brand recognition and loyalty, and places a great deal of emphasis on its established range of trademarks and considers them to be well-positioned as brands recognized by consumers for quality and reliability.

The Company's key trademarks in each of its operating segments are *Dempster's®, POM®, Ben's®, Bon Matin®, Healthy Way®, Olafson's®, McGavins®, Olivieri®, Villaggio®, Smart™, WholeGrains™* and *Obsession™*.

Patents and other forms of intellectual property such as industrial designs and copyright are of less importance to the business activities of the Company.

ENVIRONMENTAL MATTERS

The Company is conscious of its environmental responsibilities. Its businesses operate within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Governance Committee of the Board of Directors. The Company's environmental program is monitored on a regular basis by this Committee, including compliance by the Company with regulatory requirements, the use of internal environmental specialists and independent external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. There can be no assurance, however, that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulations or the occurrence of an adverse event at one of the Company's locations.

EMPLOYEES AND EMPLOYEE RELATIONS

As of December 31, 2009, the Company employed approximately 8,100 people, of which about 4,550 were covered by some 65 collective agreements. These agreements are normally negotiated for varying terms and, in any given year, a number of these agreements expire and are re-negotiated; most renew without significant issue. However, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

Twenty-four (24) collective agreements have expired or will expire in 2010. Negotiations are currently ongoing in respect of two of these agreements. Key collective agreements to be negotiated in 2010 include Fresh Bakery plants in Etobicoke, Ontario, Toronto, Ontario, Edmonton, Alberta, Quebec City, Quebec, Moncton, New Brunswick and Grand Falls, New Brunswick; and the Frozen Bakery plants in Richmond, California, Walsall, United Kingdom and London, United Kingdom.

RISK FACTORS

The Company operates in the food processing and bakery business, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial condition.

These risks and uncertainties are described under the heading "Risk Factors" in the Company's Management's Discussion and Analysis of Financial Condition and Results of Operations ("MD&A") for the fiscal year ended December 31, 2009 and which is incorporated by reference herein. The Company has filed the MD&A with the Canadian securities regulators and it is available at www.sedar.com.

CORPORATE STRUCTURE

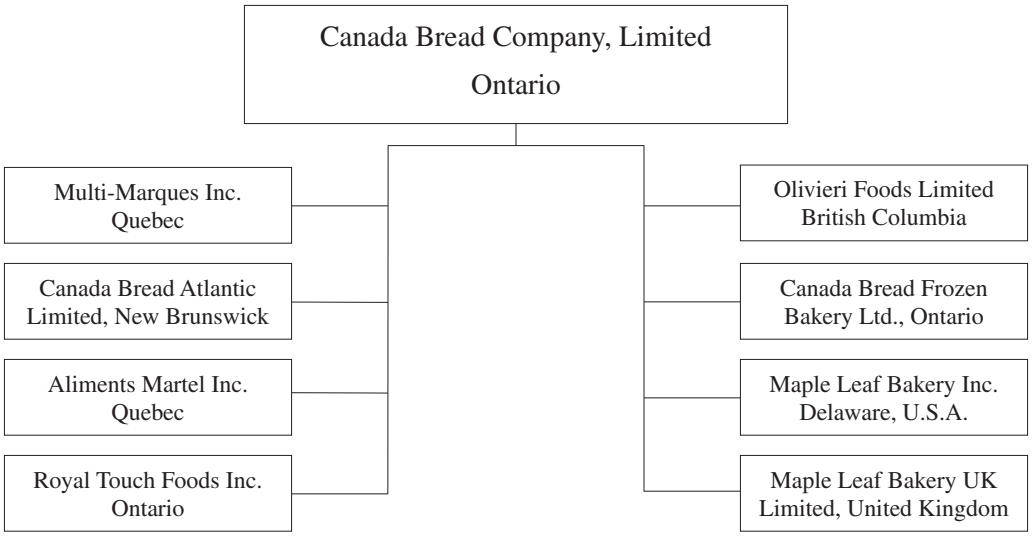
Name, Address and Incorporation

Canada Bread Company, Limited / Pain Canada Compagnie, Limitée is incorporated under the *Business Corporations Act* (Ontario). As at March 25, 2010, Maple Leaf Foods owned, directly or indirectly, 89.8% of the outstanding voting and equity securities of Canada Bread. While it was originally incorporated on June 9, 1911 under its current name, Canada Bread Company, Limited, from 1969 to 1997 the Company was called Corporate Foods Limited. The Company's registered and head office is located at 10 Four Seasons Place, Etobicoke, Ontario M9B 6H7.

Intercorporate Relationships

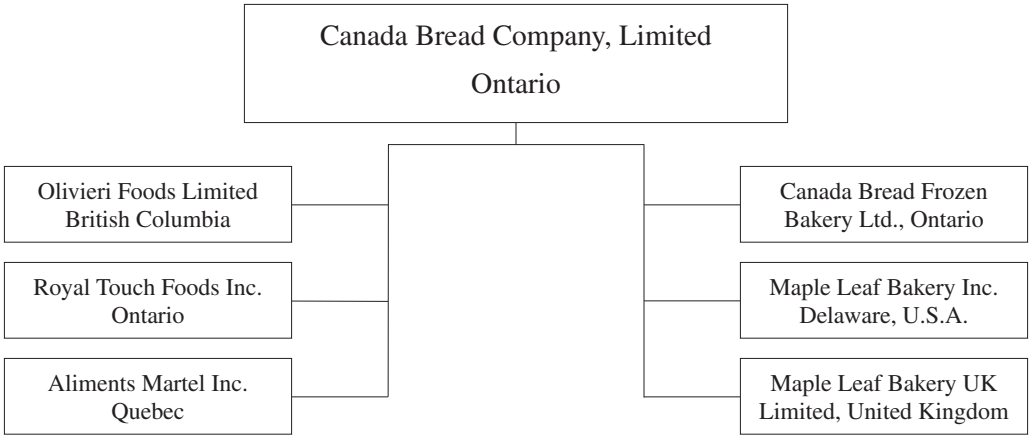
As at December 31, 2009, the Company had the following significant operating subsidiaries and affiliates:

Note: All companies are 100% owned unless otherwise indicated. The jurisdiction listed is the jurisdiction of incorporation.



Subsequent to December 31, 2009, the Company underwent a legal entity reorganization, which involved, among other things, the amalgamation of the Company with various of its operating and non-operating subsidiaries and also involved the winding-up of certain Quebec subsidiaries. This reorganization was completed in early January, 2010.

Subsequent to the completion of the reorganization noted above, the Company had the following significant operating subsidiaries and affiliates:



DESCRIPTION OF CAPITAL STRUCTURE

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares. As of March 25, 2010, there were 25,416,812 common shares and no preference shares issued and outstanding. Holders of common shares are entitled to one vote at all meetings of shareholders. In addition, holders of common shares are entitled to dividends if, as and when declared by the Board of Directors of the Company and, in the event of the liquidation, dissolution or winding up of its affairs, to a pro rata share of the assets of the Company after payment of all liabilities and obligations of the Company. There are no pre-emptive, conversion or redemption rights attaching to the common shares.

The Company may issue preference shares in one or more series. Each series will have dividend rates and payment schedules, redemption and retraction rights and prices, conversion or other rights, conditions, restrictions, limitations, or prohibitions attaching thereto as shall be determined by resolution of the Board of Directors of the Company passed prior to the issuance of the series of preference shares. The preference shares shall be entitled to preference over common shares with respect to payments of dividends and distribution of assets. Each series of preference shares shall rank in parity with each other series of preference shares.

Upon issuance, the holders of preference shares shall not be entitled to vote at meetings of shareholders, unless the Company fails to pay in the aggregate six (6) quarterly dividends on the preference shares of any one (1) series on the dates on which such dividends should be paid, whether or not such dividends have been declared. So long as any dividends on any preference shares remain in arrears, the holders of the preference shares of all series shall be entitled to one (1) vote in respect of each preference share held and to vote separately and exclusively as a class to elect two (2) of the total number of directors of the Company until all arrears of dividends on all preference shares have been paid, whereupon such rights shall cease. If the Company again defaults in payment of dividends on the preference shares of any one (1) series for an aggregate of six (6) quarterly dividends on the dates on which same should be paid, the holders of preference shares shall again be entitled to vote separately and exclusively as a class until all arrears of dividends on all preference shares have been paid.

In July 2008, Maple Leaf Foods increased its ownership of the Company by acquiring 458,800 shares of the Company on the open market at the price of $71.15 per share for aggregate consideration of $32,643,620, raising Maple Leaf Foods' ownership to 22,818,515 common shares (89.8%) of the Company.

DIVIDENDS

The declaration and payment of dividends is at the discretion of the Board of Directors. The Board of Directors intends to maintain a stable dividend policy and, where appropriate, change the dividend on the basis of the Company's estimated earnings and projected cash requirements. During each of the fiscal years ended December 31, 2007, 2008 and 2009, the Company declared an aggregate yearly dividend of $0.24 per common share, payable quarterly. At present, there is no intention to change the Company's dividend policy; however, that is subject to market conditions. Management does not anticipate that there will be any restrictions on the payment of dividends in the foreseeable future. The Company expects that the dividends declared in 2010 and future years will be considered eligible for the purposes of the "Enhanced Dividend Tax Credit System".

MARKET FOR SECURITIES

The Company's common shares are listed on the Toronto Stock Exchange under the stock market symbol "CBY". The following table outlines the price range and trading volume of the common shares for each month of the last fiscal year.

Month (2009)	High ($)	Low ($)	Volume
December	54.99	50.11	46,143
November	52.00	45.63	30,709
October	46.00	42.75	107,971
September	45.50	42.00	39,949
August	44.00	41.01	20,897
July	42.70	37.50	51,650
June	42.50	38.29	46,507
May	45.00	41.00	16,009
April	44.00	35.00	23,657
March	38.70	30.50	41,128
February	47.50	39.01	15,637
January	49.99	45.31	21,051

DIRECTORS AND OFFICERS

The following table sets forth each director's name and municipality of residence, the year in which he or she became a director and his or her principal occupation. Directors are elected to hold office until the next annual meeting of the shareholders or until a successor is elected or appointed.

The Company has no Executive Committee of the Board. The Board maintains an Audit Committee and a Governance Committee. This information is given as at December 31, 2009 and is current to March 25, 2010 as follows:

Name and Municipality of Residence	Director Since	Principal Occupation
William E. Aziz [(1)(2)] Oakville, Ontario, Canada	2005	President and CEO, BlueTree Advisors Inc. *(private management advisory firm)*
Sarah A. Everett [(1)(2)] Toronto, Ontario, Canada	1995	Chair of the Executive Committee, Royal Canadian Securities Limited *(privately-held holding company)*
Richard A. Lan Chatham, New Jersey, U.S.A.	1995	President and Chief Executive Officer, Canada Bread Company, Limited, and Chief Operating Officer, Food Group, Maple Leaf Foods Inc. *(food manufacturing company)*
J. Scott McCain Toronto, Ontario, Canada	1995	President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods Inc. *(food manufacturing company)*
Michael H. McCain Toronto, Ontario, Canada	1995	President and Chief Executive Officer, Maple Leaf Foods Inc. *(food manufacturing company)*
G. Wallace F. McCain, O.C. Toronto, Ontario, Canada	1995	Chairman of the Board, Maple Leaf Foods Inc. *(food manufacturing company)*
John F. Petch, Q.C. [(1)(2)] Toronto, Ontario, Canada	1995	Chair, Board of Governors of the University of Toronto *(post-secondary educational institution)*
Michael H. Vels Toronto, Ontario, Canada	2007	Chief Financial Officer, Canada Bread Company, Limited and Executive Vice-President and Chief Financial Officer, Maple Leaf Foods Inc. *(food manufacturing company)*

Notes:

(1) Member of the Audit Committee.

(2) Member of the Governance Committee

All of the directors have had the principal occupation indicated for the previous five years, except: **Ms. S.A. Everett** was Chairman, Tereve Holdings Ltd. (formerly carrying on business as Bowring Gift Shops) (to 2005); and **Mr. R.A. Lan**, who was President and Chief Executive Officer, Canada Bread Company, Limited, and President and Chief Operating Officer, Bakery Products Group, Maple Leaf Foods (to 2006).

The name, municipality of residence and principal occupations of the Company's executive officers and executive officers of principal subsidiaries as at December 31, 2009 and current to March 25, 2010 are as follows:

Name and Municipality of Residence	Position Held
Steven J. Attridge Oakville, Ontario, Canada	Senior Vice-President, Finance, Canada Bread Fresh Bakery
Peter Baker London, United Kingdom	Managing Director, Maple Leaf Bakery UK
Catherine Brennan Toronto, Ontario, Canada	Vice-President and Treasurer
Jean Luc Breton Laval, Quebec, Canada	Senior Vice-President & General Manager, Eastern Canada
Robert I. Busch Toronto, Ontario, Canada	Senior Vice-President, Human Resources and Corporate Affairs
Rocco Cappuccitti Richmond Hill, Ontario, Canada	Corporate Secretary
Lynda J. Kuhn Acton, Ontario, Canada	Vice-President, Public & Investor Relations
Richard A. Lan Chatham, New Jersey, U.S.A.	President and Chief Executive Officer
Michael H. McCain Toronto, Ontario, Canada	Chairman of the Board
C. Barry McLean Toronto, Ontario, Canada	President, Canada Bread Fresh Bakery
Réal G. Ménard Laval, Quebec, Canada	President, Canada Bread Frozen Bakery
Michael H. Vels Toronto, Ontario, Canada	Chief Financial Officer
Donald J. Wilcox Cobourg, Ontario, Canada	Vice-President, Technical Services
Simon Wookey Oakville, Ontario, Canada	President, Maple Leaf Fresh Prepared Foods

All of the officers have been engaged in their present occupation for the previous five years or were in other executive capacities with the Company or an affiliate, except as follows:

Mr. S. Attridge was Senior Vice-President Finance, Maple Leaf Consumer Foods – Fresh (2006–2008), Senior Vice-President Finance, Maple Leaf Fresh Foods (2005–2006), and Vice-President Finance, Maple Leaf Pork (to 2005); **Mr. P. Baker** was Chief Executive Officer of PB Services, a consultancy business (2007–2008), and Chief Executive Officer of La Fornaia Bakery (2004–2007); **Ms. C. Brennan** was Senior Vice President, Treasury & Tax, Cott Corporation (to 2009). Her principal occupation is Vice President and Treasurer, Maple Leaf Foods Inc. (2009 to date). **Mr. J. L. Breton** was Vice President and General Manager, Canada Bread (to 2009); **Ms. L.J. Kuhn** is Vice-President, Public & Investor Relations, Canada Bread Company, Limited (2003 to date). Her principal occupation is Senior Vice-President, Communications and Consumer Affairs, Maple Leaf Foods Inc. (2006 to date) and previously she was Vice-President, Public & Investor Relations, Maple Leaf Foods Inc. (to 2006); **Mr. R. Ménard** was Senior Vice-President and General Manager, Multi-Marques Inc. (to 2005), and Executive Vice-President, Canada Bread Fresh Bakery (2005–2007); and **Mr. S. Wookey** was General Manager and Vice-President, Food to Go (2008–2009), Managing Director, Greencore North America (2006–2008), and Managing Director, Greencore Sandwiches (2004–2006).

Cease Trade Orders, Bankruptcies, Penalties or Sanctions

Within ten years preceding the date of this Annual Information Form:

Mr. Aziz was a director of Doman Industries Limited (2003 and 2004) during the period while the company was operating under CCAA protection (granted in 2002) and filed a sanctioned plan of compromise and arrangement (2004). Mr. Aziz was appointed an officer of Atlas Cold Storage Income Trust (2003) when certain officers and directors (not including Mr. Aziz) were the subject of a cease trade order. Mr. Aziz was appointed the Chief Financial Officer of Hollinger Inc. and its subsidiaries from March 2007 to May 2008 and Chief Restructuring Officer of Hollinger Inc. and certain of its subsidiaries since May 2008, which corporation and certain subsidiaries were granted an initial order under the CCAA on August 1, 2007.

When Mr. Aziz was appointed the Chief Financial Officer of Hollinger Inc. on March 8, 2007, he became subject to a management cease trade order ("MCTO") in respect of Hollinger Inc., which was originally issued on June 1, 2004 by the Ontario Securities Commission and which order remained in place until April 10, 2007, when the MCTO was revoked by the Ontario Securities Commission as a result of the updating of all filings that Hollinger Inc. was required to make pursuant to Ontario securities laws. Mr. Aziz was subsequently appointed Chief Restructuring Officer of Hollinger Inc. In 2008 and 2009, respectively, the Ontario and Alberta Securities Commissions issued permanent cease trade orders against Hollinger Inc., with the consent of the company and approved by the Ontario Superior Court of Justice. The orders were imposed due to the failure of Hollinger Inc. to file certain continuous disclosure documents with the Ontario and Alberta Securities Commissions as a result of Hollinger Inc.'s restructuring under the CCAA. The orders remain in effect.

Ms. Everett was Chairman and a director of Tereve Holdings Ltd., a private company that was subject to a proceeding under the CCAA in 2005 and subsequently to bankruptcy proceedings under the *Bankruptcy and Insolvency Act* (Canada) in 2006.

Ownership of Voting Securities by Directors and Officers

As at March 25, 2010, all directors and executive officers of the Company, as a whole, beneficially own, directly or indirectly, or exercise control or direction over 16,030 common shares representing approximately 0.06% of the outstanding common shares of the Company. This figure does not include the 22,818,515 common shares owned by Maple Leaf Foods, which is approximately 89.8% of the outstanding common shares of the Company. G.W.F. McCain, M.H. McCain, J.S. McCain, R.A. Lan, L.J. Kuhn, R. Cappuccitti, C. Brennan and M.H. Vels are executive officers and/or directors of Maple Leaf Foods. Furthermore, 37.7% of all voting shares of Maple Leaf Foods are held by McCain Capital Corporation, of which the G.W.F. McCain Family, including G.W.F. McCain, J.S. McCain and M.H. McCain, has a controlling interest.

AUDIT COMMITTEE

Composition of the Audit Committee

The Audit Committee of Canada Bread consists of the following directors, each of whom has been a member of the committee since the year set out below.

W.E. Aziz as Chairman	2005
S.A. Everett	1995
J.F. Petch	2008

Each member of the Audit Committee is independent within the meaning of applicable securities legislation and none receives, directly or indirectly, any compensation from the Company other than for service as a member of the Board of Directors and its committees. Each member of the Audit Committee is financially

literate as defined under National Instrument 52-110 – *Audit Committees.* In considering the criteria for determining financial literacy, the Board of Directors looks at the ability of a director to read and understand a balance sheet, an income statement and a cash flow statement of a company of a complexity comparable to that of the Company.

A copy of the Charter of the Audit Committee is attached as Appendix A hereto.

Relevant Education and Experience of Audit Committee Members

W.E. Aziz, H.B.A., C.A.

Through BlueTree, Mr. Aziz is currently providing his services as CRO of Hollinger Inc. during its restructuring. He is a director of OMERS (where he is Vice-Chair of its Investment Committee and sits on its Leadership Resources and Compensation Committee). Mr. Aziz is a graduate of the Richard Ivey School of Business at the University of Western Ontario in Honors Business Administration and is a Chartered Accountant. He has also completed the Institute of Corporate Directors Governance College at the Rotman School of Business, University of Toronto, and is a member of the Insolvency Institute of Canada.

J.F. Petch

Mr. Petch is Chair of the Board of Governors of the University of Toronto. He is currently the lead director of ShawCor Ltd. and director and Vice-Chair of Andrew Peller Limited, both of which are publicly traded companies listed on the Toronto Stock Exchange. Mr. Petch holds B.A., J.D. and LL.M. degrees and has practiced extensively in business law, including mergers and acquisitions.

S.A. Everett, B.A., M.A.

Ms. Everett is a Director and Chair of the Executive Committee of Royal Canadian Securities Limited, based in Winnipeg, Manitoba, which together with its subsidiaries is engaged primarily in retail operations, real estate development and property management. Ms. Everett has previously held positions in the consumer packaged goods industry and was the President and Chairman of Domo Gasoline Corporation Ltd., a privately held chain of retail gasoline outlets. She holds a Bachelor of Arts (Honours) degree from Queen's University and a Master of Arts degree from the University of Toronto. Ms. Everett has been a member of the Canada Bread (formerly Corporate Foods Limited) Audit Committee since 1995.

Fees paid to Auditors – KPMG LLP

For the years ended December 31, 2009 and 2008, the fees paid by the Company for the services performed by KPMG LLP are set out in the table below. Annually, the Audit Committee reviews a summary of the services provided by the auditors to the Company and its subsidiaries. In 2004, the Audit Committee established a policy requiring pre-approval of all non-audit services to be rendered by the external auditors. Any engagement of KPMG LLP by the Company for any non-audit services must be approved in advance by the Audit Committee. Between meetings of the Audit Committee, authority for approval is delegated to the Audit Committee Chairman. Approvals under the delegated authority are presented to the full Audit Committee at their next meeting. The policy also prohibits the engagement of KPMG LLP in a number of services that the Audit Committee believes may have the potential to impact KPMG LLP's independence.

In the last two years, KPMG LLP has not provided any of following services to the Company:
(i) bookkeeping services and other services related to accounting records or financial statements;
(ii) financial information systems design and implementation; (iii) appraisal or valuation services, fairness opinions or contribution-in-kind reports; (iv) actuarial services; (v) internal audit outsourcing services;
(vi) management functions; (vii) human resources; (viii) broker-dealer, investment advisor or investment banking services; and (ix) legal services and expert services unrelated to the audit.

Description	2009	2008
Audit fees [1]	$ 672,360	$ 974,759
Audit-related fees [2]	83,580	251,214
Tax fees [3]	213,971	466,759
All other fees [4]	1,180,021	—
Total fees	$ 2,149,932	$ 1,692,732

Notes:

(1) For the audit of the Canada Bread annual financial statements (including the audits of subsidiaries).

(2) Audit-related services consisting primarily of audit procedures related to audits of financial statements of employee pension benefit plans that are not reported under "Audit fees".

(3) For domestic tax compliance and international tax planning and compliance services.

(4) For products and services other than the fees reported in (1) to (3). The 2009 fees are primarily for forensic accounting services.

CONFLICTS OF INTEREST

To the best of the knowledge of the Company, no director or executive officer of the Company has an existing or potential conflict of interest with the Company or any of its subsidiaries.

LEGAL PROCEEDINGS AND REGULATORY ACTIONS

The Company is a defendant to certain claims arising in the normal conduct of its business. Management believes that the final resolution of these claims will not have a material adverse effect on the Company's earnings or financial position. The Company is not subject to any material legal or regulatory actions.

INTEREST OF MANAGEMENT AND OTHERS IN MATERIAL TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf Foods management for operating involvement, mergers and acquisition transactions, information system services, engineering services, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2009 for these services were $38.7 million (2008 – $30.3 million; 2007 – $25.3 million).

To the best of the knowledge of the Company, other than as described elsewhere in this document, no director or executive officer of the Company nor any person or company that is the direct or indirect beneficial owner of, or who exercises control or direction over more than 10% of any class of securities of the Company, nor any associate or affiliate of the foregoing persons or companies has any material interest, direct or indirect, in any transaction within the three most recently completed financial years or during the current financial year that has materially affected or is reasonably expected to materially affect the Company or any of its subsidiaries.

TRANSFER AGENT AND REGISTRARS

The Company's transfer agent is Computershare Investor Services Inc., with a transfer point for its common shares in Toronto, Ontario.

INTERESTS OF EXPERTS

The Company's independent auditors, KPMG LLP, have delivered an audit report to the Company concerning the consolidated balance sheets of the Company as at December 31, 2009 and 2008 and the consolidated statements of earnings, comprehensive income, retained earnings and cash flows for the years then ended. KPMG LLP is an independent auditor within the meaning of the Rules of Professional Conduct of the Institute of Chartered Accountants of Ontario.

ADDITIONAL INFORMATION

Additional information, including directors' and officers' remuneration and indebtedness, principal holders of the Company's common shares, securities authorized for issuance under equity compensation plans and interest of insiders in material transactions, if applicable, is contained in the Notice of Annual and Special Meeting of Shareholders and Management Information Circular dated March 24, 2010, issued in connection with the Annual and Special Meeting of Shareholders to be held on Thursday, May 6, 2010. Additional financial information is also provided in the Company's MD&A and consolidated financial statements for the fiscal year ended December 31, 2009.

Copies of the foregoing documents may be obtained free of charge, upon request, from the Corporate Secretary of the Company at 10 Four Seasons Place, Toronto, Ontario M9B 6H7.

The above information and additional information relating to Canada Bread Company, Limited is available on SEDAR at www.sedar.com.

APPENDIX "A"

CHARTER OF THE AUDIT COMMITTEE

(THE "COMMITTEE") OF THE BOARD OF DIRECTORS OF

CANADA BREAD COMPANY, LIMITED (THE "CORPORATION")

Nature and Scope of the Committee

The Committee is a standing committee appointed by the Board of Directors, established to fulfill applicable public company obligations respecting audit committees and to assist the Board of Directors (the "Board") in fulfilling its oversight responsibilities in the following areas: (i) accounting policies and practices, (ii) the integrity of the Company's financial statements, (iii) compliance with legal and regulatory requirements, (iv) the qualifications, independence, and performance of the external auditors, and (v) the performance of the internal audit function.

The Committee, its Chair and members are members of the Board, appointed to the Committee to provide broad oversight of the financial, financial reporting, risk and control related activities of the Corporation, and are specifically not accountable or responsible for the day-to-day operation or performance of such activities.

Management is responsible for the preparation, presentation and integrity of the financial statements and for maintaining appropriate accounting and financial reporting principles and policies, systems of risk assessment and internal controls and procedures designed to provide reasonable assurance that assets are safeguarded and transactions are properly authorized, recorded and reported and to assure the effectiveness and efficiency of operations, the reliability of financial reporting and compliance with accounting standards and applicable laws and regulations.

The internal auditor is responsible for monitoring and reporting on the adequacy and effectiveness of the system of internal controls.

The external auditors are responsible for planning and carrying out an audit of the annual consolidated financial statements in accordance with generally accepted auditing standards to provide reasonable assurance that, among other things, such financial statements are in accordance with generally accepted accounting principles. The external auditors are accountable to the Committee and the Board as the representatives of the shareholders of the Corporation and the Committee shall so instruct the external auditors and the external auditors shall report directly to the Committee.

Except as set out below, the Committee does not have decision-making authority but rather conveys its findings and recommendations to the Board of Directors for consideration and decision by the Board of Directors.

Procedures, Powers and Duties

In addition to the procedures and powers set out in the policy entitled "Composition, Appointment & Practices of Each Committee of the Board of Directors of Canada Bread Company, Limited", as amended, or in any resolution of the Board relating to the Committee, the Committee shall have the following procedures, powers and duties:

1. *Composition* – The Committee shall be comprised of a minimum of three members. Each member of the Committee shall be both an "unrelated" director and "independent" director as such terms are defined from time to time under the requirements or guidelines for audit committee service under applicable securities laws and the rules of any stock exchange on which the Corporation's securities are listed for trading.

   All members of the Committee must be "financially literate" subject to any available exemption in applicable securities laws as that term is defined from time to time under the requirements or guidelines for Audit Committee service under securities laws and the rules of any stock exchange on which the Corporation's securities are listed for trading or if it is not so defined, as that term is interpreted by the Board in its business judgment.

2. *In Camera Meetings* – At least annually, the Committee shall hold *in camera* meetings with each of the heads of the internal audit function and the external auditors to discuss any matters that the Committee or each of these groups believes should be discussed privately and such persons shall have unrestricted access to the Committee to bring forward matters requiring its attention.

3. *Professional Assistance* – The Committee may require the external auditors and internal auditors to perform such supplemental reviews or audits as the Committee may deem desirable. In addition, the Committee may retain such special legal, accounting, financial or other consultants and determine their compensation as the Committee may determine to be necessary to carry out the Committee's duties at the Corporation's expense and will inform the Chair of the Human Resources and Corporate Governance Committee of any such retainer.

4. *Reliance* – Absent actual knowledge or belief to the contrary, which shall be promptly reported to the Board, each member of the Committee shall be entitled to rely on (i) the integrity of those persons or organizations within and outside the Corporation from which it receives information, (ii) the accuracy of the financial and other information provided to the Committee by such persons or organizations, and (iii) representations made by management and the external auditors as to any non-audit services provided by the external auditors to the Corporation and its subsidiaries.

5. *Reporting to the Board* – The Committee will report through the Committee Chair to the Board following meetings of the Committee on matters considered by the Committee, its activities and compliance with this Charter.

The Committee will:

1. *Internal controls* – Review and discuss with management, the external auditors and the internal auditors as it deems necessary and exercise oversight with respect to:

   (a) The adequacy and effectiveness of the system of internal accounting and financial controls and the recommendations of management, the external auditors and the internal auditors for the improvement of accounting practices and internal controls;

   (b) Any material weaknesses in the internal control environment, including with respect to computerized information system controls and security; and

   (c) Management's compliance with the Corporation's processes, procedures and internal controls.

2. *Regulatory agency reviews* – Review the findings of any examination by regulatory agencies concerning financial matters of the Corporation and make recommendations to the Board related thereto.

3. *Appointment of external auditors* – With respect to the appointment and oversight of the external auditors:

   (a) Make recommendations to the Board on the external auditors for the purpose of preparing or issuing an audit report or performing other audit, review or attest services of the Corporation to be nominated in the Corporation's proxy circular for appointment or reappointment by shareholders;

   (b) Make a recommendation to the Board for the approval of compensation for the external auditors; and

   (c) Review, evaluate and approve the terms of engagement, performance, audit scope and approach to the conduct of the external auditors with respect to the annual audit.

4. *Independence of external auditors* – Review the independence of the external auditors and make recommendations to the Board on actions the Committee deems necessary to protect and enhance the independence of the external auditors. In connection with such review, the Committee:

   (a) Shall actively engage in a dialogue with the external auditors about all relationships or services that may impact the objectivity and independence of the external auditors;

   (b) Shall require that the external auditors submit to it on a periodic basis and, at least annually, a formal written statement delineating all relationships between the Corporation including its subsidiaries, and the external auditors including their affiliates;

   (c) Shall review and approve clear policies for hiring by the Corporation of employees or former employees of the current or former external auditors;

(d) May approve policies and procedures for the pre-approval by a Committee member of any non-audit services to be rendered by the external auditors which the external auditors are not otherwise prohibited from providing and which policies and procedures shall include reasonable detail with respect to the services covered, provided that the pre-approval of non-audit services by a Committee member with delegated authority must be presented to the full Committee at its next scheduled meeting. For greater certainty, all non-audit services to be provided to the Corporation or any of its affiliates by the external auditors or any of their affiliates which are not covered by pre-approval policies and procedures approved by the Committee shall be subject to pre-approval by the Committee; and

(e) Shall review and approve the disclosure in the annual information form and management proxy circular of the fees paid in the financial year to the external auditors by category.

5. *Internal auditors* – Review the organizational structure, independence and qualifications of the internal audit department and its resources, the internal audit plans and their implementation.

6. *Internal audit function* – Oversee and monitor the internal audit function including:

(a) Meeting periodically with the internal auditors to discuss the progress of their activities and any significant findings stemming from internal audits and any difficulties or disputes that arise with management and the adequacy of management's responses in correcting audit-related deficiencies; and

(b) Reviewing summaries of reports to management prepared by the internal auditors and have available the full reports, communicate with the internal auditors with respect to their reports and recommendations as necessary with respect to the extent to which prior recommendations have been implemented, management's responses to such reports and any other matters that the internal auditor brings to the attention of the Committee.

7. *External audits* – Oversee and monitor external audits, including:

(a) Reviewing with the external auditors, the internal auditors and management the audit function generally, the objectives, staffing, locations, co-ordination, reliance upon management and internal audit and general audit approach and scope of proposed audits of the financial statements, the overall audit plans, the responsibilities of management, the internal auditors and the external auditors, the audit procedures to be used and the timing and estimated budgets of the audits;

(b) Discussing with the external auditors any difficulties or disputes that arose with management or the internal auditors during the course of the audit and the adequacy of management's responses in correcting audit-related deficiencies and resolve any outstanding disputes;

(c) Taking such other reasonable steps as the Committee may deem necessary to satisfy itself that the audit was conducted in a manner consistent with all applicable legal requirements and auditing standards of applicable professional or regulatory bodies; and

(d) Reviewing and resolve any disagreements between management and the external auditors regarding financial reporting or the application of any accounting principles or practices.

8. *Accounting principles and policies* – Oversee, review and discuss, as the Committee deems necessary, with management, the external auditors and the internal auditors, the Corporation's accounting principles and policies, including:

(a) *Selection* – the appropriateness and acceptability of the Corporation's accounting principles and practices used in its financial reporting, changes in the Corporation's accounting principles or practices and the application of particular accounting principles and disclosure practices by management to new transactions or events;

(b) *Significant financial reporting issues* – all significant financial reporting issues and judgments made in connection with the preparation of the financial statements and any "second opinions" sought by management from an independent auditor with respect to the accounting treatment of a particular item;

(c) *Disagreements* – disagreements between management and the external auditors or the internal auditors regarding the application of any accounting principles or practices;

(d) *Material change or proposed change* – any material change or proposed change to the Corporation's accounting principles and practices;

(e) *Changes in regulatory and accounting requirements* – the effect of changes in regulatory and accounting requirements;

(f) *Legal matters, claims and contingencies* – any legal matter, claim or contingency that could have a significant impact on the financial statements, the Corporation's compliance policies and any material reports, inquiries or other correspondence received from regulators or governmental agencies and the manner in which any such legal matter, claim or contingency has been disclosed in the financial statements;

(g) *"Pro forma" or "adjusted" information* – the use of any "pro forma" or "adjusted" information not in accordance with generally accepted accounting principles; and

(h) *Goodwill impairment* – management's determination of goodwill impairment, if any, as required by applicable accounting standards.

9. *Interim financial results* – Prior to the release of any summary of interim financial results, including any associated press release, or the filing of such reports with the applicable regulators, review with the external auditors and management the interim consolidated financial statements and related MD&A and associated press release and make recommendations to the Board of Directors.

10. *Annual audited consolidated financial statements* – Review with the external auditors and management the annual audited consolidated financial statements and related MD&A and associated press release, and report on the results of such review to the full Board prior to the approval and release to shareholders of such results by the Board.

11. *Prospectuses and information circulars* – Review with the external auditors and management, financial information contained in any prospectus or information circular of the Corporation, and make recommendations regarding approval to the Board. The Committee shall also periodically assess the adequacy of the procedures in place for the review of the Corporation's public disclosure of financial information extracted or derived from financial statements and MD&A.

12. *Communications between management, the internal and external auditors* – Provide an open avenue of communication between management, the internal auditors, the external auditors and the Board.

13. *Independent investigations* – Conduct independent investigations into any matters which come under its scope of responsibilities.

14. *Other reports of the external auditors* – Review and discuss all reports which the external auditors are required to provide to the Committee or the Board under rules, policies or practices of professional or regulatory bodies applicable to the external auditors and any other reports which the Committee may require with the external auditors.

15. *Complaints regarding accounting, controls or audit matters* – Establish and monitor procedures for the receipt, retention and treatment of complaints received by the Corporation regarding accounting, internal accounting controls or audit matters and the confidential, anonymous submission by employees of concerns regarding questionable accounting or auditing matters and review periodically with management and the internal auditors these procedures and any significant complaints received.

16. *Financial risk exposures* – Meet periodically with management to review and discuss the Corporation's major financial risk exposures and the policy steps management has taken to monitor and control such exposures, including the use of financial derivatives and hedging activities.

17. *Audit committees of material subsidiaries* – Receive and review the minutes of meetings of the audit committee of material subsidiaries of the Corporation.

18. *Other delegated matters* – Review and/or approve any other matter specifically delegated to the Committee by the Board and undertake on behalf of the Board such other activities as may be necessary or desirable to assist the Board in fulfilling its oversight responsibilities with respect to financial matters.

The Charter

19. *Charter review* – The Committee shall review and reassess the adequacy of this Charter at least annually and otherwise as it deems appropriate and recommend changes to the Human Resources and Corporate Governance Committee.

20. *Committee performance* – Annually, the Committee shall evaluate its performance with reference to this Charter and the results of its evaluation shall be submitted to the Human Resources and Corporate Governance Committee.

21. *Disclosure of Charter* – The Committee shall ensure that this Charter is disclosed on the Corporation's website and that this Charter is disclosed in the annual information form of the Corporation in accordance with all applicable securities laws or regulatory requirements.



CANADA BREAD COMPANY, LIMITED

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